

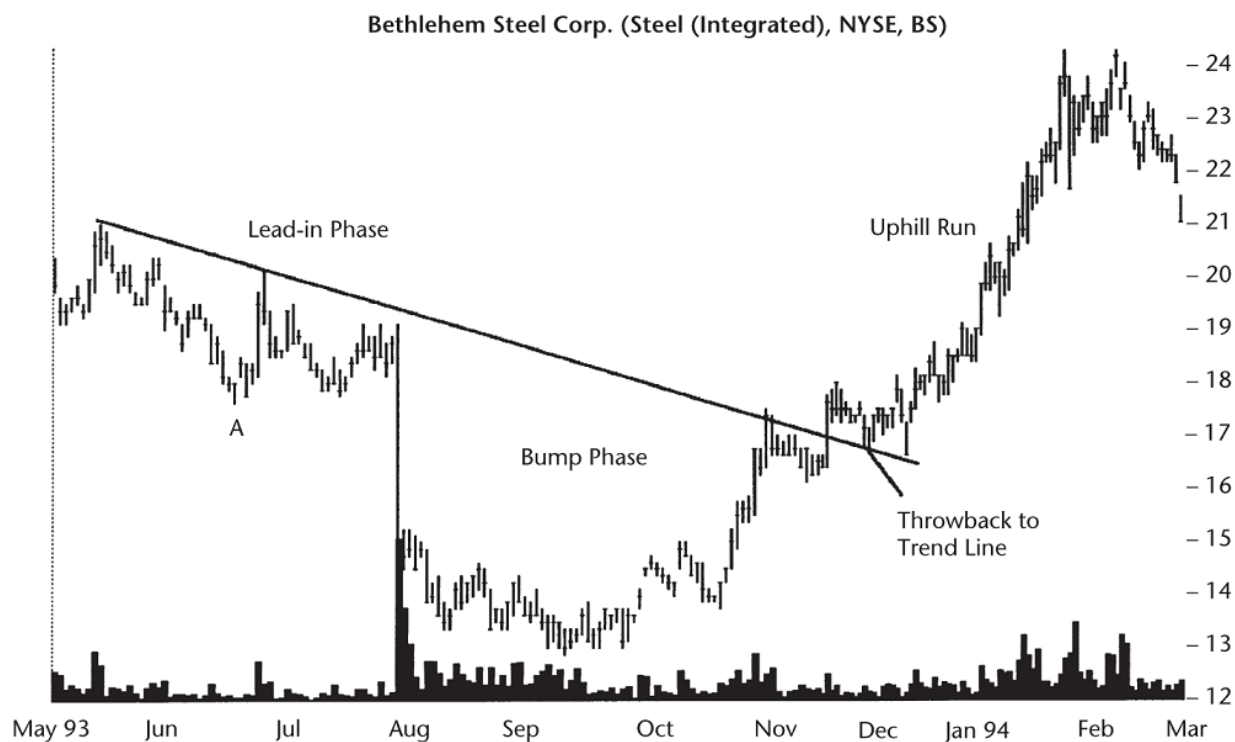


Figure 14.2 Shown are various components of a bump-and-run reversal bottom. The lead-in phase sees price moves in a narrow range. The bump forms, rounds upward as price leaves the bowl, and moves higher on the uphill run to new highs.

Bump phase. After the lead-in phase comes the bump phase. Price declines rapidly, although usually not as rapidly as that shown in [Figure 14.2](#), and forms a new trendline that slopes down at about 45 degrees to 60 degrees or more. Volume is noticeably higher at the start of the bump, but selling pressure overtakes buying demand and the truth finally comes out: There are problems with the company. The stock continues down as the smart money and the momentum players leave the stock in droves.

Eventually, downward selling pressure abates, allowing the stock to recover. It rounds up and touches the original 30-degree trendline. Here, it may move lower for a while or it may sail right through the trendline. Over half of the time, price starts moving higher, then throws back to the trendline before continuing up.

Dual bumps. Price touches the trendline on its way to the breakout, but instead of continuing higher, it declines and forms a second bump. A second bump will appear 12% of the time in bull markets and 11% of the time in